Marvell Technology (MRVL): Hold — Valuation Concerns

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The AI ramp is real, but the price assumes perfection. At $251.19, the market prices roughly 44% annual revenue growth for five years. Our DCF sees $133.12 base case, 47% downside.

Hold — Valuation Concerns	$133.12	$251.19	-47%
RATING	BASE TARGET (BLENDED $139.40)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$80.62 / $210.72	12.79%	$2.17B	79%	2.26	$2.74B
BEAR / BULL TARGETS	YEAR-1 WACC	Q2 DC REVENUE (+46%)	DATA CENTER MIX	LIVE BETA	Q2 REVENUE (+37%)

Executive summary

We rate Marvell Technology **Hold — Valuation Concerns** with a $133.12 base-case target (blended $139.40). Let us be clear about what this is not: it is not a call on the AI cycle. Q2 FY2027 revenue grew 37% year over year to a record $2.74 billion, the data center segment grew 46% to $2.17 billion (79% of sales), custom ASIC ramps with Google and AWS are accelerating into the second half, and management raised both the FY2027 guide to $12 billion and the FY2028 outlook to $18 billion. The fundamental momentum is genuine.

It is a call on price and on risk. At $251.19, Marvell trades at a ~$220 billion market cap, up roughly 200% in twelve months. Our five-year DCF, underwriting tapered revenue growth of 30% / 50% / 56% in FY2028 fading to 5% / 10% / 21% by FY2031, with EBIT margins expanding from 28% toward 36% in the base case, discounted at a beta-decayed WACC starting at 12.79%, yields Bear $80.62, Base $133.12, Bull $210.72. The 2.26 live beta is the single biggest driver: long-duration AI cash flows get no free pass when the Year-1 cost of equity exceeds 13%.

> **Our read:** the reverse DCF is the whole thesis. To justify $251.19, the market must believe Marvell compounds revenue at roughly **44% for five straight years**, well above even our bull case. AI winners deserve a premium. They do not deserve fantasy.

Base-case assumptions

INPUT	BEAR	BASE	BULL
FY2027 revenue ($B)	11.5	12.0	12.5
FY2028 growth	30%	50%	56%
FY2031 revenue ($B)	20.0	28.7	41.0
FY2031 EBIT margin	30%	36%	42%
Target per share	**$80.62**	**$133.12**	**$210.72**

Beta decays 2.26 to 1.2 (mature semi peer) over 5 years; Year-1 WACC 12.79%, terminal WACC 9.2%. Tax 11% (non-GAAP rate); D&A 10.5% of revenue; capex 4.5% (fabless). Terminal growth 2.5%. Net debt $1.53B; 921M diluted shares (Q2 FY27 10-Q).

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Bull case: $210.72 AI SUPERCYCLE

If custom ASIC ramps with Google and AWS more than double in FY2028 as guided, electro-optics (PAM4 DSPs) ride the 1.6T transition, and the non-data-center segments recover cyclically, Marvell compounds to $41 billion in FY2031 revenue at 42% EBIT margins. Beta compresses toward 1.2 on sustained execution, pulling the terminal WACC to 9.2%. Our bull case is worth $210.72. Note the implication: even if everything goes right, the stock is 16% overvalued at $251.19.

Bear case: $80.62 AI DIGESTION

Hyperscaler capex pauses after the 2026-2027 buildout, custom ASIC ramps slip on qualification delays, and Broadcom takes share in optical DSPs. The non-data-center segments stay depressed, and the 2.26 beta keeps the discount rate elevated even as growth slows. Revenue reaches only $20 billion by FY2031 at 30% margins. Worth $80.62, or 68% below spot.

Verdict

We rate MRVL Hold — Valuation Concerns. Let us be clear about what this is not: it is not a call on the AI cycle. The business is fundamentally healthy: record quarterly revenue with low-40s percent year-over-year growth, gross margins expanding from 41% to 51%, net income swinging to roughly +$2.7B, and management raising both the FY2027 and FY2028 guides. Nothing about the operating story has deteriorated. The concern is purely valuation: $251.19 demands roughly 44% annual revenue growth for five years, above even our bull case, with a 2.26 beta keeping Year-1 WACC at 12.79% to punish the long-duration cash flows the market is paying for. We reserve Sell for names where overvaluation meets business deterioration; MRVL is a strong franchise at a demanding price. We would turn constructive near our $133.12 base case.

What would change our mind

- **Price:** a 45-50% decline toward $133-140 would put the stock within reach of our base case.
- **Beta compresses faster:** if the AI cycle matures and beta falls toward 1.5 within two years, the WACC relief alone lifts every scenario by 25-30%.
- **Custom ASIC durability:** multi-year take-or-pay style commitments from hyperscalers would de-risk the outer-year growth taper.

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Key themes

1. Data center is now the company ACCELERATING

At 79% of revenue and growing 46%, Marvell has become an AI data center business with a legacy networking arm attached. Custom XPUs for hyperscalers and PAM4 optical DSPs are the twin engines. Every incremental point of data center mix improves the growth and margin profile.

2. Custom silicon is the swing factor ACCELERATING

Management guides custom ASIC revenue to more than double in FY2028, driven by Google and AWS ramps in the second half of FY2027. Custom silicon carries lower gross margins than merchant products (Q3 non-GAAP gross margin guided down to 57.5-58.5%), but the volume leverage more than compensates at the operating line.

3. The non-data-center recovery is optional upside STABLE

Carrier, enterprise, consumer, and auto are 21% of sales and cyclically depressed. Any recovery in FY2028 is upside to our numbers, not a requirement. We model only modest improvement.

4. Beta is the valuation's binding constraint DECELERATING

At 2.26x beta, Marvell's 12.79% Year-1 WACC is among the highest in our semiconductor coverage. We decay beta to 1.2 over five years as the AI franchise matures, but the early-year discounting is severe. Multiple expansion cannot rescue a DCF when the discount rate expands with it.

Other KPIs

METRIC	VALUE
Market cap (at $251.19)	~$220B
Enterprise value	~$222B
Q2 FY27 revenue / YoY	$2.74B / +37%
Data center revenue (Q2)	$2.17B (+46% YoY)
Non-GAAP gross margin (Q2)	58.9%
Non-GAAP operating margin	36.6%
Q3 FY27 revenue guide	$3.15B (+/-5%)
Net debt / cash	$1.53B / $3.93B

Guidance

Q3 FY2027: revenue guided at $3.15 billion (+/-5%), non-GAAP EPS $1.10 (+/-$0.05), non-GAAP gross margin 57.5-58.5%. Full-year FY2027 revenue raised to ~$12 billion (+45%); FY2028 outlook raised to ~$18 billion (+50%). Q3 results due early December 2026. The October 6 Investor Day laid out a $70-90 billion FY2031 revenue vision that we view as aspirational rather than underwritable.

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Reverse DCF: what the market is pricing in

At $251.19, Marvell carries a ~$220B market cap and a ~$222B enterprise value. Holding our 35% base-case FCF margin flat and discounting at the 9.2% terminal WACC with 2.5% terminal growth, the market-implied five-year revenue CAGR is roughly **44%**.

SCENARIO	IMPLIED / ASSUMED 5-YR CAGR	TARGET
Market-implied	~44%	$251.19 (spot)
Bull case	~27%	**$210.72**
Base case	~24%	**$133.12**
Bear case	~15%	**$80.62**

The market is pricing growth at roughly 1.6x our bull case. A ~44% CAGR takes revenue from $12 billion toward $80 billion by FY2031, essentially underwriting management's aspirational Investor Day vision in full, with zero discount for execution risk. The 200%+ twelve-month rally was multiple expansion and momentum, not estimate revision. That gap is the valuation concern.

Model

Full three-scenario DCF with beta-decayed WACC, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1dP9D3G7SuRelcyB_-Gm4yz2f-jShHFUROagVVjUttE0/edit?usp=drivesdk

Risks to our Hold

- **Hyperscaler custom ASIC commitments prove durable and multi-year, de-risking the outer-year taper.**
- **Beta compresses toward 1.5 on sustained execution, cutting the early-year WACC materially.**
- **The 10-year falls back toward 4%, mechanically lifting our targets by 20-25%.**
- **Optical DSP share gains accelerate on the 1.6T transition, adding high-margin merchant revenue.**

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